



Qualification Programme Examination Panelists' Report

Module 13 – Business Assurance (June 2022 Session)

(The main purpose of the following report is to summarise candidates' common weaknesses and make recommendations to help future candidates improve their performance in the examination.)

(I) Section A – Case Questions

General Comments

The case was related to a Hong Kong listed company principally engaging in sales of stylish and innovative home appliances. The company survived during the pandemic with business expansion. The company launched new concept stores and a new customer loyalty programme and implemented new point-of-sales systems in the year. The company also faced some difficulties in recovering some trade receivables. This section aimed to test the candidates' skills and abilities to evaluate and analyse the facts provided in the case in terms of identification of audit risks and development of appropriate audit procedures. This section covered a wide range of financial statement line items including revenue, expected credit loss allowance, and right-of-use assets. This section also tested the candidate's knowledge and application of corporate governance relating to the responsibilities of the board of directors.

Specific Comments

Question 1(a) – 3 marks

This question required the candidates to evaluate the risk of material misstatements relating to revenue recognition in the terms of occurrence with reference to the facts provided in the case background. Most candidates failed to identify the focus of this question which was about the risk of material misstatements in terms of occurrence. As a result, they failed to discuss the risk with reference to the Dymi's customer profile.

Question 1(b)(i) – 5 marks

This question required the candidates to explain why the risk of material misstatements relating to revenue recognition in terms of accuracy is high in response to the launch of the customer loyalty programme and implementation of the new point-of-sales system and the Dymi APP. Many candidates were able to point out that the financial calculation of the customer loyalty programme is complex, and that the new point-of-sales system and the Dymi App are highly customised. However, they were not able to explain further the detailed implications to the audit risk assessment.



Question 1(b)(ii) – 8 marks

This question required the candidates to propose appropriate audit procedures to address the risk of material misstatements identified in Question 1(b)(i) in terms of accuracy. Many candidates only suggested general audit procedures on revenue recognition but failed to suggest specific audit procedures in response to audit risks identified associated with the new customer loyalty programme and the implementation of the new point-of-sales system and the Dymi App.

Question 2(a) – 5 marks

This question required the candidates to advise on whether the risk of material misstatements of expected credit losses on trade receivables is low and explain the rationale for this. The candidates' performance on this question was fair. Many candidates were able to determine that the trade receivable balance and the loss allowance for expected credit loss amount were material to the financial statements and that the expected credit loss assessment involved management's estimates and judgement.

Question 2(b) – 7 marks

This question required the candidates to propose appropriate audit procedures to address the risk of material misstatements identified in Question 2(a), in particular the audit procedures in assessing management's judgement and estimates applied to the expected credit losses assessment.

The candidates did not perform well in this question. Many candidates only suggested general audit procedures on trade receivable balance but failed to suggest specific audit procedures addressing the risk of possible bias of management's judgement and estimates in assessing the expected credit losses.

Question 3(a) – 5 marks

This question required the candidates to evaluate the risk of material misstatements relating to right-of-use assets in terms of accuracy and completeness. Many candidates got the risk assessment wrong. This may be because some candidates were not familiar with the accounting implication of the extension and termination options in the new lease contracts.

Question 3(b) – 7 marks

This question required the candidates to propose audit procedures to address the risk of material misstatements identified in Question 3(a). Many candidates were only able to suggest general audit procedures on right-of-use assets but failed to suggest specific audit procedures in addressing the risk of material misstatements identified in Question 3(a).



Question 4(a) – 5 marks

This question required the candidates to list five mandatory disclosures relating to the board of directors in a corporate government report. Many candidates performed well in this questions and were able to suggest the appropriate required disclosures.

Question 4(b) – 5 marks

This question required the candidates to explain the responsibilities of the board of directors in communicating and sharing information with shareholders relating to Dymi's latest business development in the year and suggest the expected actions from the corporate governance perspective.

Many candidates pointed out that the board of directors have responsibilities to oversee risk management and internal controls of the company. But the question requirement was about the responsibilities of the board of directors in communication with shareholders on key business update and therefore many candidates failed to suggest appropriate actions by the board of directors in response to the question requirement.

(II) Section B – Essay/Short Questions

General Comments

Section B covered a wide range of topics including independent consideration, evaluation of material misstatements upon conclusion of audits, technical knowledge on information technology system and cyber-attack as well as the responding audit procedures and the application of professional scepticism when conducting bank confirmation procedures. Although the performance varies among the different topics, overall, the candidates demonstrated their ability to apply the technical knowledge on hypothetical practical situation as set in the questions.

Specific Comments

Question 5 – 14 marks

This question comprised a short case background which required candidates to prepare a memorandum to the audit partner for the analysis of independence threats and suggestion of safeguards to mitigate the risk. There were four independence threats hidden in the case background. Candidates performed superbly in this question because the case was straightforward and the threats were easily identified. The majority of the candidates were able to obtain the same marks regarding their communication and analytical skills.



Question 6(a) – 4 marks

This question required the candidates to evaluate the material misstatements when there were turnaround effects brought forward from previous year. The situation was fairly common but the candidates' performance was unsatisfactory. This reflected the fact that the candidates lacked experience in this area relating to evaluation of misstatement upon conclusion of audit.

Question 6(b) – 4 marks

This question required the candidates to evaluate the material misstatements when considering the users of the financial statements and the materiality level. The situation was fairly simple and the candidates performed better than (a) above.

Question 6(c) – 4 marks

This question required the candidates to evaluate the material misstatements when the misstatement distorted the trend of gross margin which was a key performance indicator of the entity that the users would consider. The situation was unique, some of the candidates only considered the magnitude of the misstatement, but not the performance indicator from the perspective of users of the financial statements. The performance of the candidates was fair.

Question 7(a) – 4 marks

This question required the candidates to propose control procedures which can address risk of unauthorised access and the risk of cyber-attack. The candidates performed well in this question as it was straightforward and the answers can be found from the textbook.

Question 7(b) – 6 marks

This question required the candidates to evaluate whether the information system general control was still effective, and if not, what the audit strategy would be for the auditor to perform. The performance of this question was poor mainly because the candidates missed the first part of the question as they were unable to conclude whether the information system general control was still effective. Also, they were unable to propose an appropriate audit strategy.



Question 8(a) – 8 marks

This question required the candidates to identify unusual observations or irregularities relating to a property management service company. For example, many bank accounts were dormant or denominated in foreign currencies which cannot be justified with commercial substance. This tests the candidates' common sense and the exercise of professional scepticism during the audit. The performance of the candidates was good because they were able to identify the irregularities from the facts.

Question 8(b) – 6 marks

This question required the candidates to provide specific reasons to justify why bank confirmations were sent for each category of bank accounts. Candidates were required to provide an explanation to address each specific situation. Candidates performed fair in this question.

(III) Conclusion and Recommendation

The candidates' ability to apply technical knowledge on specific fact pattern is still weak which, in turn, reflects that there is a lack of thorough understanding of the standards and requirements. Questions related to information technology continued to be the weak area of the candidates. The candidates are therefore advised to complete more workshops and to expand their practical experience.